

THE BOX, WORKED THROUGH

Your Oil Trade

WTIUSD CRUDE OIL		1.00 lot = \$1,000 per \$1.00 move • 100:1			
ENTRY 88.41	VOLUME 2.8 lots	MARGIN \$2,475	STOP LOSS 87.56	TAKE PROFIT 91.20	R : R 1 : 3.28
RISK (1R) \$2,380	SL MOVED TO ENTRY YES	CLOSED AT _____	RESULT (\$) _____	RESULT (R) _____	

Where every number comes from

	CALCULATION	RESULT	WHAT IT IS
Stop distance	88.41 - 87.56	0.85	How far price must go against you.
Target distance	91.20 - 88.41	2.79	How far it must go for you.
Risk (1R)	0.85 x 2.8 x \$1,000	\$2,380	What a stop-out costs.
Reward at target	2.79 x 2.8 x \$1,000	\$7,812	What the take profit pays.
R : R	2.79 / 0.85	1 : 3.28	Inside the 1:3 to 1:5 band.
Notional	2.8 x 1,000 x 88.41	\$247,548	The position's face value.
Margin at 100:1	\$247,548 / 100	\$2,475	Matches the \$2,475 you quoted.

The margin figure is the proof the rest is right: 2.8 lots of 1,000 barrels at 100:1 gives \$2,475.48, which is what your platform shows. So the contract size and the leverage are confirmed, and every other number above follows from them.

What each close price pays

CLOSE PRICE	OUTCOME	R	PROFIT / LOSS
91.20	Take profit hit	+3.28R	+\$7,812
88.41	Stop at entry - scratched	+0.00R	\$0
87.56	Original stop hit	-1.00R	-\$2,380

FOR ANY OTHER CLOSE PRICE

P/L = (close - 88.41) x 2.8 x \$1,000, which is \$2,800 for every 1.00 the price moves, or \$28 for every 0.01. Closed at 90.00 that is **+\$4,452 (+1.87R)**. Because the stop is at entry, the worst case is now \$0 rather than -\$2,380 - minus spread and commission, which a scratched trade still pays.

ONE SHEET PER CYCLE

The Five Boxes

Fill in entry, volume and both levels when you open. Write the price in SL MOVED TO ENTRY when you move the stop, and the close price when you are out. R:R must read at least 1:3 before the trade is taken.

XAUUSD GOLD						1.00 lot = \$100 per \$1.00 move • 100:1
ENTRY	VOLUME	MARGIN	STOP LOSS	TAKE PROFIT	R : R	
_____	_____	_____	_____	_____	_____	
RISK (1R)	SL MOVED TO ENTRY	CLOSED AT	RESULT (\$)	RESULT (R)		
_____	_____	_____	_____	_____		

WTIUSD CRUDE OIL						1.00 lot = \$1,000 per \$1.00 move • 100:1
ENTRY	VOLUME	MARGIN	STOP LOSS	TAKE PROFIT	R : R	
_____	_____	_____	_____	_____	_____	
RISK (1R)	SL MOVED TO ENTRY	CLOSED AT	RESULT (\$)	RESULT (R)		
_____	_____	_____	_____	_____		

XAGUSD SILVER						1.00 lot = \$5,000 per \$1.00 move • 100:1
ENTRY	VOLUME	MARGIN	STOP LOSS	TAKE PROFIT	R : R	
_____	_____	_____	_____	_____	_____	
RISK (1R)	SL MOVED TO ENTRY	CLOSED AT	RESULT (\$)	RESULT (R)		
_____	_____	_____	_____	_____		

BTCUSD BITCOIN						1.00 lot = \$1 per \$1.00 move • 5:1
ENTRY	VOLUME	MARGIN	STOP LOSS	TAKE PROFIT	R : R	
_____	_____	_____	_____	_____	_____	
RISK (1R)	SL MOVED TO ENTRY	CLOSED AT	RESULT (\$)	RESULT (R)		
_____	_____	_____	_____	_____		

DJIUSD DOW 30						1.00 lot = \$1 per 1.0 point • 100:1
ENTRY	VOLUME	MARGIN	STOP LOSS	TAKE PROFIT	R : R	
_____	_____	_____	_____	_____	_____	
RISK (1R)	SL MOVED TO ENTRY	CLOSED AT	RESULT (\$)	RESULT (R)		
_____	_____	_____	_____	_____		

CLOSING THE WEEK

Cycle Total

ASSET	CLOSED AT	OUTCOME (TP / SL / ENTRY)	RESULT (R)	PROFIT / LOSS
XAUUSD				
WTIUSD				
XAGUSD				
BTCUSD				
DJIUSD				
TOTAL				

Contract values - the only numbers you need to size

ASSET	VALUE PER LOT	LEVERAGE	VOLUME FOR 1R
XAUUSD GOLD	\$100 per \$1.00 move, per 1.00 lot	100:1	volume = 1R / (stop distance x \$100)
WTIUSD CRUDE OIL	\$1,000 per \$1.00 move, per 1.00 lot	100:1	volume = 1R / (stop distance x \$1,000)
XAGUSD SILVER	\$5,000 per \$1.00 move, per 1.00 lot	100:1	volume = 1R / (stop distance x \$5,000)
BTCUSD BITCOIN	\$1 per \$1.00 move, per 1.00 lot	5:1	volume = 1R / (stop distance x \$1)
DJIUSD DOW 30	\$1 per 1.0 point, per 1.00 lot	100:1	volume = 1R / (stop distance x \$1)

Silver and the Dow vary most between brokers - check both against your platform once, the way the \$2,475 margin confirmed oil.

One thing to settle before the next trade

THE RISK ON THE OIL TRADE IS NOT 1% OF \$2,000,000

\$2,380 of risk is 1% of **\$238,000**. On the \$2,000,000 balance from the last sheet it is **0.12%** - about one twelfth of a full position. Neither is wrong, they are just different accounts. To risk a true 1% of \$2,000,000 on this same setup you would need **23.53 lots**, not 2.8 - \$2,080,235 of notional and \$20,802 of margin, which is where the 5:1 on bitcoin starts to matter. Tell me which balance the boxes should assume and the sizing column can be pre-filled.

BALANCE	VOLUME	RISK	EXPOSURE	MARGIN	
\$238,000	2.8 lots	\$2,380	1.00%	\$2,475	What you traded
\$2,000,000	2.8 lots	\$2,380	0.12%	\$2,475	The same trade on the bigger account
\$2,000,000	23.53 lots	\$20,000	1.00%	\$20,802	A full 1% position on the bigger account